stance. When yield is low, an investor is saying, "I know I am receiving insignificant dividends, but that's O.K., because this stock will definitely go up, so I will make money that way." This is an entirely speculative stance. When investors in the aggregate are willing to own stocks almost solely for their capital gain potential, it is a sign of extreme optimism, and therefore of a market top.

August 1987 saw a historically high valuation of dividends, beating out even that of 1929. The result was a 1000-point crash. Figure 10-2 shows that the 8½ year climb since then has created a state of overvaluation *greater* than that of 1987. This bull market, then, has set two all-time records of optimism, a fitting tribute to a Grand Supercycle top. The extent of the records is shocking. At press time, the dividend yield on the Dow Jones Industrial Average is an all-time low 2.55%. A year ago, the dividend yield on the Dow Jones Transportation Average reached the lowest of any stock index in

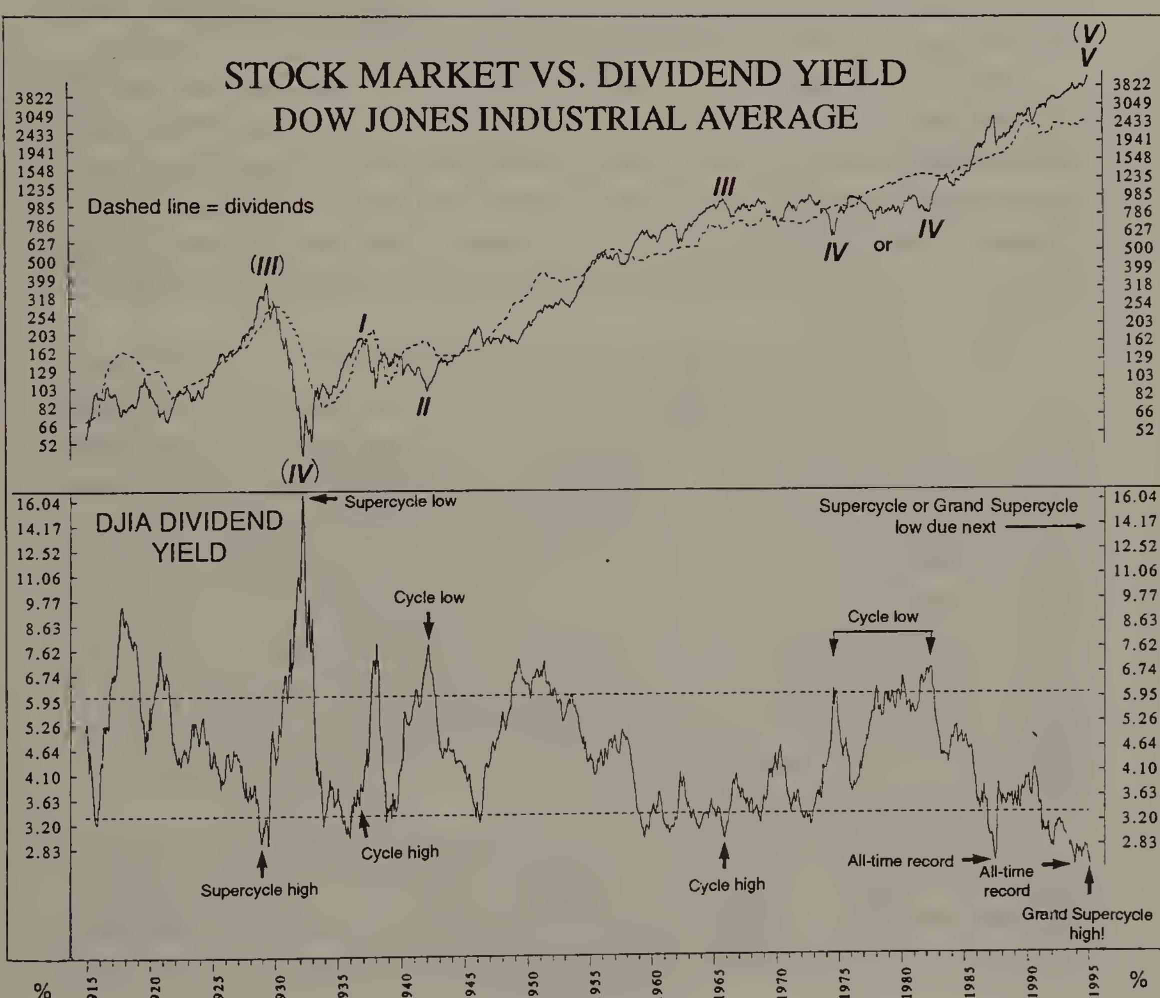

Figure 10-2